

Self-Attribution (Self-Enhancing) Bias

Bias type: Cognitive

Self-attribution bias refers to the tendency of Independents to ascribe their successes to innate talents while blaming failures on outside influences. For example, suppose an Independent makes an investment in a particular stock that goes up in value. The reason it went up is not due to random factors such as economic conditions or competitor failures (the most likely reason for the investment success), but rather to the investor's investment savvy (likely not the reason for the investment success.) This is classic self-enhancing bias.

Simple diagnostic for self-attribution bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I often find that many of my successful investments can be attributed to my decisions, while those that did not work out were based on the guidance of others.

Answering 3 to 5 shows a tendency toward self-attribution bias.

Confirmation Bias

Bias type: Cognitive

Confirmation bias occurs when people observe, overvalue, or actively seek out information that confirms their claims, while ignoring or devaluing evidence that might discount their claims. Confirmation bias can cause investors to seek out only information that confirms their beliefs about an investment, and not seek out information that may contradict their beliefs. This behavior can leave investors in the dark regarding, for example, the imminent decline of a stock. Independents often find themselves subject to this bias.

Simple diagnostic for confirmation bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

When an investment is not going well, I usually seek information that confirms I made the right decision about it.

Answering 3 to 5 shows a tendency toward confirmation bias.

Advice for Independents

Independents can be difficult clients to advise due to their independent mind-set, but they are usually grounded enough to listen to sound advice when it is presented in a way that respects their independent views. As we have